Valero Energy (VLO)
Cyclical Peak Earnings

Valero Energy screens as a Hold with a $337.21 blended target, 22% below the current price.

Analyst: Justin Wen

HOLD	$337.21	-22%	$433.42
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

Cyclical Peak Earnings. Q3 2026 crack spreads reached extraordinary levels on Russian and Middle Eastern refining disruptions. JPMorgan estimates Valero pretax of $8.95B (+50% QoQ). The stock gained 49% in Q3 alone [Mkt Oct-26]. Best Operator in Refining. 97% utilization with throughput records in the Gulf Coast and North Atlantic. Scale and complexity advantages over smaller refiners. Q2 net income of $3.72B exceeded the entire FY25 total [8-K Q2 2026]. Priced for the Cycle. At $444.71 [Mkt 16-Oct-26], the stock s

The latest print

Best Operator in Refining. 97% utilization with throughput records in the Gulf Coast and North Atlantic. Scale and complexity advantages over smaller refiners. Q2 net income of $3.72B exceeded the entire FY25 total.

Priced for the Cycle. At $444.71, the stock sits between our $327.61 DCF base and $467.13 bull case. NTM P/E of 9.4x is a classic peak-earnings multiple. This is a trade on margin duration, not a compounder.

$44.5B	$3.72B	8.36%	97%	$122.7B	$2.35B
REVENUE (Q2 2026)	NET INCOME (Q2 2026)	NET MARGIN (Q2 2026)	REFINERY UTILIZATION	REVENUE (FY25)	NET INCOME (FY25)

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This material is for informational and discussion purposes only and is not investment advice or a recommendation to buy or sell any security. Forecasts and valuation outputs are inherently uncertain.

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Revenue (Q2 2026)	$44.5B	+38%	Up
Net Income (Q2 2026)	$3.72B	+340%	Up
Net Margin (Q2 2026)	8.36%	+6.4 pts	Up
Refinery Utilization	97%	Record	Up
Revenue (FY25)	$122.7B	-5.5%	Down
Net Income (FY25)	$2.35B	-15.2%	Down
Net Margin (FY25)	1.91%	-0.2 pts	Down

The moat

97% refinery utilization; Gulf Coast and North Atlantic throughput records

The growth engine

Crack spreads at extraordinary levels on Russian/Middle East disruptions

Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	2026-30 CAGR	2030 REVENUE	2030 EBIT MARGIN	TARGET	UPSIDE
Bear	25%	-2.0%	$122.15B	4.9%	**$210.79**	-51%
Base	50%	-0.3%	$130.85B	7.8%	**$332.18**	-23%
Bull	25%	2.0%	$143.35B	10.6%	**$473.70**	+9%

Bear: downside case at $210.79 (-51%).

Base: central case at $332.18 (-23%).

Bull: upside case at $473.70 (+9%).

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The probability-blended target implies 22% downside

A 25% Bear / 50% Base / 25% Bull weighting implies -22% from the $433.42 reference price.

$337.21
BLENDED TARGET

The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Mechanics are explicit. The bridge runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Revenue base (2025E)	**$132.43B**
Valuation horizon	**2026-2030**
Live WACC	**8.90%**
Terminal growth	**0.0%**
Net debt	**$2.00B**
2030 FCF (Base)	**$8.71B**
10-year Treasury yield	**5.1%**
Beta	**0.56**
Equity risk premium	**3.4%**

HOLD | $337.21 blended target | Wen

The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is 7.4%. at/above Bull (2%) — euphoric

Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

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CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
+0%	$98.2B	$333.99	+20%	$189.5B	$651.32	+40%	$336.2B	$1,160.76
+1%	$101.7B	$346.21	+21%	$195.4B	$671.71	+41%	$345.3B	$1,192.44
+2%	$105.3B	$358.78	+22%	$201.4B	$692.59	+42%	$354.6B	$1,224.76
+3%	$109.0B	$371.69	+23%	$207.6B	$713.97	+43%	$364.1B	$1,257.76
+4%	$112.8B	$384.96	+24%	$213.8B	$735.84	+44%	$373.8B	$1,291.42
+5%	$116.8B	$398.59	+25%	$220.3B	$758.23	+45%	$383.7B	$1,325.77
+6%	$120.8B	$412.60	+26%	$226.9B	$781.13	+46%	$393.8B	$1,360.81
+7%	**$124.9B**	**$426.97**	+27%	$233.6B	$804.56	+47%	$404.1B	$1,396.55
+8%	$129.2B	$441.74	+28%	$240.5B	$828.52	+48%	$414.6B	$1,433.00
+9%	$133.5B	$456.89	+29%	$247.6B	$853.02	+49%	$425.3B	$1,470.17
+10%	$138.0B	$472.43	+30%	$254.8B	$878.08	+50%	$436.2B	$1,508.07
+11%	$142.6B	$488.38	+31%	$262.2B	$903.69	+51%	$447.3B	$1,546.71
+12%	$147.3B	$504.75	+32%	$269.7B	$929.87	+52%	$458.6B	$1,586.09
+13%	$152.1B	$521.53	+33%	$277.4B	$956.63	+53%	$470.2B	$1,626.24
+14%	$157.1B	$538.73	+34%	$285.3B	$983.97	+54%	$482.0B	$1,667.15
+15%	$162.2B	$556.37	+35%	$293.3B	$1,011.90	+55%	$494.0B	$1,708.84
+16%	$167.4B	$574.45	+36%	$301.5B	$1,040.43	+56%	$506.2B	$1,751.32
+17%	$172.7B	$592.98	+37%	$309.9B	$1,069.58	+57%	$518.7B	$1,794.60
+18%	$178.2B	$611.96	+38%	$318.5B	$1,099.34	+58%	$531.4B	$1,838.69
+19%	$183.8B	$631.41	+39%	$327.3B	$1,129.73			

Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

SCENARIO	ENTERPRISE VALUE	EXIT EV/ FCF	TERMINAL GROWTH	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$62.69B	—	0.0%	-$2.00B	$60.69B	**$210.79**
Base	$97.64B	—	0.0%	-$2.00B	$95.64B	**$332.18**
Bull	$138.38B	—	0.0%	-$2.00B	$136.38B	**$473.70**

Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

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SCENARIO	2026	2026	2027	2028	2029	2030
Bear	$229.55	$229.55	$228.95	$227.10	$225.53	$224.25
Base	$361.74	$361.74	$362.13	$361.13	$360.13	$359.15
Bull	$515.86	$515.86	$519.33	$520.88	$521.67	$521.62

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $337.21 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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The franchise deep dive

97% refinery utilization; Gulf Coast and North Atlantic throughput records

Crack spreads at extraordinary levels on Russian/Middle East disruptions

Low-cost Gulf Coast footprint with scale advantage over smaller refiners

Revenue and margin trend

METRIC	FY21	FY22	FY23	FY24	FY25
Revenue	$114B	$176B	$144B	$130B	$123B
Net Margin	0.9%	6.5%	6.1%	2.1%	1.9%
Throughput (Mbpd)	2.85	2.96	3.02	2.95	3.00

Valuation cross-check

NTM P/E 9.4x

DCF Base $327.61 vs $444.71 spot

PEG 1.91

Low P/E reflects peak earnings. DCF implies 26% downside to base; bull case $467 is the upside bound.

MPC, PSX similar single-digit NTM P/E

In line with refining peers; the whole group is priced for peak margins.

Trading at the high end of historical price range

Typical late-cycle positioning: price highs coincide with earnings highs.

What to monitor

Oct/Nov 2026. Q3 2026 Earnings: JPMorgan estimates pretax $8.95B (+50% QoQ). Expectations are sky-high.

2026-2027. Diesel crack spreads and refinery outage duration determine margin persistence.

2027. Renewable diesel and low-carbon projects diversify the earnings base.

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Financial summary: income statement

YEAR	REVENUE	GROSS PROFIT	OPERATING INCOME	EBITDA
2022	$176.4B	$16.8B	$15.8B	$18.3B
2023	$144.8B	$12.9B	$11.9B	$15.1B
2024	$129.9B	$4.8B	$3.8B	$7.0B
2025	$122.7B	$5.4B	$4.3B	$6.7B

Balance sheet

YEAR	TOTAL ASSETS	TOTAL LIABILITIES	TOTAL EQUITY	CASH
2022	$61.0B	$35.5B	$23.6B	$4.9B
2023	$63.1B	$34.5B	$26.3B	$5.4B
2024	$60.1B	$32.6B	$24.5B	$4.7B
2025	$58.0B	$31.4B	$23.7B	$4.7B

Cash flow

YEAR	OPERATING CF	CAPEX	FINANCING CF	FREE CF
2022	$12.6B	$-1.7B	$-8.8B	$10.9B
2023	$9.2B	$-911M	$-6.9B	$8.3B
2024	$6.7B	$-907M	$-5.0B	$5.8B
2025	$5.8B	$-796M	$-4.2B	$5.0B

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $337.21 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

CASE ANALYTICS

Agency risk score 42 of 100: high agency risk, the value-trap profile

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 0.42% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $5.68M of sales, a net flow of -$5.68M. One-year total shareholder return is +167.8% against CEO total pay of $7.63M (Mr. R. Lane Riggs), which the model scores as PERFORMANCE EARNED.

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AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	2 / 40	0.42% of shares held by insiders
Form 4 Flow (Conviction Flow)	14 / 30	Buys $0 (0) vs sales $5.68M (3), net -$5.68M, trailing six months
Pay-for-Performance	26 / 30	PERFORMANCE EARNED: Stock Outperformance Matches Comp Structure. 1Y TSR +167.8%; Mr. R. Lane Riggs, CEO, President & Chairman, total pay $7.63M
Agency Risk Score	**42 / 100**	Regime: HIGH AGENCY RISK // VALUE TRAP

Recent Form 4 filings

DATE	FILER	RELATION	TYPE	SHARES	VALUE
2026-06-29	Fisher Eric A	Officer	SELL	7,500	$2.01M
2026-06-18	Fisher Eric A	Officer	SELL	7,500	$1.78M
2026-05-18	Fisher Eric A	Officer	SELL	7,500	$1.89M

SEC proxy audit, DEF 14A filed 2026-03-19

Alignment grade B. DATA NOT IN EXCERPT. R. Lane Riggs, fiscal 2025 vs fiscal 2024; total compensation change year on year: N/A.

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BASE SALARY	STOCK AWARDS	NON-EQUITY INCENTIVE	OTHER COMPENSATION
N/A	N/A	N/A	N/A

The provided proxy filing excerpt cuts off before the Summary Compensation Table and CD&A pay disclosure tables. Operational and financial highlights indicate strong 2025 performance, including diluted EPS of $7.57, record refinery mechanical availability, and $4.0 billion in capital returned to stockholders. However, exact executive compensation figures and committee pay-for-performance outcomes cannot be quantified from this section alone.

Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/1035002/000162828026019806/vlo-20260318.htm

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 21 October 2026 for this note.

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The bear case

Margin Mean-Reversion

Crack spreads are mean-reverting; current diesel margins are described as extraordinary and will normalize.

Operational Volatility

Refinery outages, hurricanes, and regulatory changes can swing quarterly results violently.

Energy Transition

Long-term demand erosion from EVs and renewable fuels pressures the terminal value.

The strengths

Operating Quality

Best-in-class US refiner with scale and Gulf Coast cost advantage. But refining is deeply cyclical: FY25 net margin was 1.9%. Quality is relative to a tough industry.

Recent Trend

Crack spreads exploded in Q3; stock +49% in the quarter. Q2 net income of $3.72B was 4x the full FY25 total. The cyclical upswing is violent.

Forward Growth

Refining is not a growth industry; this is a margin cycle, not structural expansion. High margins eventually attract supply response or demand destruction.

Valuation

At $444.71 vs $327.61 DCF base, the stock is 36% above fair value but below the $467 bull case. NTM P/E 9.4x looks cheap only because earnings are at a cyclical peak.

Cascadia scorecard

Composite score 66: Attractive. Confidence High, as of 17-Oct-2026.

CASCADIA ANALYTICS

PILLAR	RATIONALE	SCORE
Operating Quality	Best-in-class US refiner with scale and Gulf Coast cost advantage. But refining is deeply cyclical: FY25 net margin was 1.9%. Quality is relative to a tough industry.	70
Recent Trend	Crack spreads exploded in Q3; stock +49% in the quarter. Q2 net income of $3.72B was 4x the full FY25 total. The cyclical upswing is violent.	95
Forward Growth	Refining is not a growth industry; this is a margin cycle, not structural expansion. High margins eventually attract supply response or demand destruction.	50
Valuation	At $444.71 vs $327.61 DCF base, the stock is 36% above fair value but below the $467 bull case. NTM P/E 9.4x looks cheap only because earnings are at a cyclical peak.	55
Catalysts & Risk	Q3 earnings should be a record, but expectations are now sky-high. Margin mean-reversion is the dominant risk. Geopolitical disruptions cut both ways. Neutral skew at best.	60

Investment view

A faster-than-expected margin collapse would cut Trend and Valuation sharply. Prolonged diesel tightness into 2027 supports the bull case.

Investment view: Hold. The $337.21 blended target implies -22%, balancing the $210.79 / $332.18 / $473.70 Bear / Base / Bull outcomes.

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